

Mak Trnka

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Croatia Agriculture

Croatia, a country located in the Balkans, current NATO member since 2009, and recent member of EU in 2013, is facing few issues when it comes to its agricultural sector. The main concerns relating to Croatia's agriculture is with landownership, the nature of farms, size, and agribusiness competitiveness. Agriculture, along with tourism are the biggest contributors to the country's GDP. The agriculture sector contributes about four percent to GDP, but there is a lot more importance to agricultural production in Croatia. Only 8% of Croatia is urbanized, while 92% is rural and nearly half of the population lives there. An average commercial farm is 8.5 hectares, but about 64% of all registered farms here have less than 5 hectares. Therefore, it struggles with its farm size, land administration mainly due to family inheritance law and a broken land registry system.^[1] Inheritance law has been contributing to difficulties such as making dozens of people claim the same piece of land. Due to a complex and fractured land registry system, before companies can obtain a property, they're informed to look for guidance on owning a property. This makes land registry books outdated. It takes three times the regional average to register the title transfer at the Land Registration Court Furthermore, there are major areas in agriculture where Croatia can't invest enough into it, nor is good in competitiveness. Due to the small farm sizes around, nearly half of the farms relying on a lot of government regulation, and public services experiencing several corrupt acts like bribes and patronage relating to agribusiness, this makes public sectors investments very weak, making Croatia's Agribusinesses competitiveness very weak and not improve standards of living in every rural areas. Agribusinesses here tend to take significantly more steps with construction permits than the regional average.^[2] Lastly, nearly half of the farms are subsidized heavily by the government, which studies have shown made costs of certain products and the amount of competitiveness in the agricultural sector lag.

Priorities

Croatia is working to take a lot of steps to improve standards of living across the rural areas which is mainly agriculture. In addition, it is working on taking significant steps to improve its farm size, robust agribusiness competition, and public sector investments, by mainly by trying to tackle several corruptions in the public Services and land Administration and working with the world bank or European union on significant policies to deal with all this. In addition, we are making sure to find as many government regulations as possible to not give people in agriculture a hard time to develop.

Current Status

Currently, in order to deal with corruption among the Land administration, Croatia has implemented significant policies such as the Agricultural Land Act, which imposes additional fees on purchases of agricultural land when used for construction purposes. In order to improve the country's rural development, expanding agribusiness competition and size of farms, it is working very closely with the World Bank on this project called the Strategic Transformation in

Agriculture & Rural Space (STARS). The STARS project is aimed to increase the country's potential in agriculture by encouraging an increase in more agriculture investments and do research to draft strategies on how to expand economic opportunities through rural areas.^[3] Furthermore, in order to boost the agricultural sector's productivity to have more competition and help young and small farms, Croatia has targeted a 50% growth in agricultural output value by end-2030. It will aim to increase the annual value of its agricultural output to about 4 billion EUROS which is 30 billion kuna.^[4] Lastly, in order to launch robust and actual competition in the Croatian market, which includes agricultural businesses, the country has created the Croatian Competitiveness Initiative (CCI) which will help create programs and institutions that will improve collective done between the public and private sector and among businesses and industries.^[5]

Policy Options

- a) Encourage the EU Common Agricultural Policy (CAP) to provide 10 billion EUROS to Croatia (The EU CAP might believe that's too much money to provide Croatia, even if its so little. However, if we are provided 10 billion EUROS from the EU CAP, that would be the most fair and reliable amount to give direct payments to farmers and rural development, which will deal with our agricultural issues at hand with standards of living).
- b) Encourage EU leaders to increase Anti-Corruption measures that go after abuses of power when it comes to finance and businesses in the agricultural sector (Not all countries might agree to this since it might hurt their sovereignty and such. However, if we all agree to increasing any anti-corruption measures possible, the bribes and money laundering committed by public services and the land administration here can be better handled, making investment opportunities and rural development easier for the people).
- c) Make a free trade agreement based on agriculture with certain EU members, especially ones that can rely more on our exports than we rely on their imports, increasing both (Members of the EU might believe this is only a policy we're trying to implement in order to benefit us and take economic advantage of them. However, if we make such a trade deal on agricultural products, with us experiencing more agricultural exports, that will provide our agricultural businesses at home a lot more benefits to develop and increase competition).

Policy Recommendation

The Foreign Ministry of Croatia recommends policy option c) 'Make a free trade agreement based on agriculture with certain EU members'. We believe if we make a free trade agreement with EU countries based on agriculture, that will benefit everyone, from agribusiness to workers to rural development and to the world. In addition, as we mentioned the problems facing our agriculture which is its lack in investments, lack of competitiveness, which makes rural development, growth in farm size, and standards of living harder, a free trade agreement can deal with all of that. We as a nation are self-sufficient in producing cheap wheat, corn, poultry, eggs, and wine, more than several other EU countries, meaning we should export them more. With a free trade agreement, this would cut several wasteful government subsidies, protectionist policies, and other trade restrictions imposed on our agriculture. With all those reduced and gone, this will make government tax revenues be used for other things. In addition, with removing several trade restriction on agribusiness, this will make it a lot easier and encourage foreign investors to provide more money to our local businesses, which will all contribute to

making us a more competitive country not just locally, but globally, and help farms expand quicker. In addition, this will provide our country with lower cost items for consumers and lower labor costs for several agricultural businesses, making it easier to hire more people in the workforce and increase the standards of living. More competition and more confidence for the investors, are a key thing we need if we need to improve our standards of living and rural development, and a free trade agreement based on agriculture we think is the way to go.

Budget

(To Be Determined)

Source:

[https://www.privacyshield.gov/article?id=Croatia-Agricultural-Sector#:~:text=Croatia%20has%201.3%20million%20hectares%20\(ha\)%20of%20agricultural%20land.&text=Currently%20Croatian%20agriculture%20struggles%20with,in%20agriculture%20and%20related%20products](https://www.privacyshield.gov/article?id=Croatia-Agricultural-Sector#:~:text=Croatia%20has%201.3%20million%20hectares%20(ha)%20of%20agricultural%20land.&text=Currently%20Croatian%20agriculture%20struggles%20with,in%20agriculture%20and%20related%20products) [1]

<https://www.ganintegrity.com/portal/country-profiles/croatia/> [2]

<https://www.worldbank.org/en/country/croatia/brief/strategic-transformation-in-agriculture-and-rural-space> [3]

. <https://seenews.com/news/croatia-targets-50-growth-of-agricultural-output-value-by-end-2030-755141> [4]

<https://www.nathaninc.com/croatia-competitiveness-initiative/> [5]

<https://www.thoughtco.com/free-trade-definition-theories-4571024> [6]